

Referee Report: CEO Optimism and Competitive Shocks

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1 Overview

The authors find that overoptimistic CEOs increase domestic market share and value of their firms relative to rational CEOs when competitive shocks occur. Using a tripe-difference specification with tariffs serving as the exogenous shocks, the paper gives evidence supporting overoptimistic CEOs decrease profit margins, increase R&D and increase advertising than rational CEOs. CEO overoptimism serves as a benefit to shareholder wealth. This paper contributes to the financial literature concerning how managerial characteristics determine corporate policies and subsequent performance.

2 Criticisms

An issue with this paper is that overoptimism is considered to be a binary variable rather than a continuous measure. In the previous literature Campbell et al. (2011) find that there is an interior optimum to in which overoptimism bias offsets CEO's risk aversion. This paper lacks a strong theoretical

model as to why there is no interior optimum level of bias and implicit assumes behaviors taken by moderately CEOs and very optimistic CEOs are the same. If there is some decreasing returns to scale it would be rational to expect that very optimistic CEOs may possibly overspend on advertising and R&D or decrease prices too much. It may be worthwhile to follow your previous work and define overly optimistic CEOs as ones with options that are over 100% in the money.

It is interesting that R&D is used as a mechanism in which overoptimistic firms increase product differentiation considering if your results could support two competing hypotheses. You argue that overoptimistic CEOs overestimate the return on R&D spending and increase R&D subsequently. Could it not be the case that overoptimistic maintain R&D expenditure similar to competitors with the belief that they will achieve higher returns on their spending. There is some decreasing returns to scale to R&D spending that needs to be taken into consideration rather than assuming some linear relationship, especially considering the literature on the benefits R&D investment and firm profitability is mixed at best. A stronger argument could be made if it is shown that firm announcements of R&D expenditures in the post shock window have higher abnormal returns for overoptimistic CEOs relative to rational CEOs possibly due them occurring first. I do acknowledge this may be feasible due to lack of data. It would be an interesting finding considering the previous literature on the subject (Chan et al. (2001), Eberhart et al. (2004)).

The paper fails to give conclusive evidence as to why the exogenous shock in the form of tariff causes the specific mechanisms of increased R&D and increased advertising to only occur due to the shock. Although the robustness tests give empirical evidence that these specific changes do not occur in the non tariff years, why do CEOs fail to engage in such behavior in the absence of competitive shocks? You do note that the results are driven by less innovative industries in table 7. Using a triple-difference specification which nets the difference between overoptimistic and rational CEOs implicitly assumes the systematic difference between overoptimistic and rational CEOs are the same before and after the exogenous shock, however, the actual degree of risk aversion across CEOs are obviously changing even if it is parallel. Implicitly you are assuming that price wars only have a realizable benefit when there is an exogenous shock that changes overoptimistic CEOs preferences. If I like pizza today why don't I like pizza yesterday. How does R&D and advertising target only changes due to competition.

This is a minor issue, but it is surprising that you consider a nominal measure in the total duties collected to the total value of imports for a given industry as an important tariff. Considering the argument that these larger exogenous shocks cause changes in market share why do you not consider this a ratio to number of firms in an industry. Since this an insample study it may be better to consider the number of industries that changed the most in size before and after the shock as defined by the TNIC. I do note that this would probably would change the actual implications of your findings but rather is a choice of taste. Conditioning on industries with high changes in

product differentiation would actually give evidence that there was substantial benefits to corporate policy changes.

A minor criticism of this paper is that the authors treat firms as one product firms in which there is no choice in allocation between products. R&D and advertising costs can increase but there is no guarantee that these expenditure increases are allocated to increasing product differentiation to the product that is affected by the tariff specifically. Both a rational and overoptimistic CEO of a multi segment firm may reallocate their product skew towards a more profitable skew and exit the market in industries that are subject to a high degree of macroeconomic uncertainty instead of engaging in a price war. Both skews may be defined as US based sales which would increase the market shares. It may be worth noting that TNIC classifications did not change before and after the tariff. I do note that measuring how revenue changed by product would require significant effort and analysis of 10ks and may reduce your sample size significantly.

An omitted variable in this analysis is the consideration of hedging.